



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

SB 1270: correctional officers; supplemental contributions

MARTINEZ FLOOR AMENDMENT

1. Modifies the supplemental contribution requirements, allowing employers to contribute if the contribution:
 - a. does not exceed \$5,000 per participant, per year;
 - b. is made only on a specified years of employment or years of service interval;
 - c. is made equally as an amount or as a rate of pensionable pay at each interval to all participants of the employer who meet the service and the employer's policy requirements; and
 - d. does not require the participant to make any additional monetary contribution to receive the employer's supplemental contribution.
2. Requires employers to adopt a policy detailing the requirements and amounts of the supplemental contribution incentive payments before implementation of the payments.
3. Makes technical and conforming changes.

MARTINEZ SUBSTITUTE FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1270

I move the following SUBSTITUTE amendment to the PUBLIC SAFETY & LAW ENFORCEMENT Committee Amendment to
SENATE BILL 1270 (Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.
[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 38-867, Arizona Revised Statutes, is amended to
3 read:

4 38-867. Contributions; member; employer; pickup

5 A. Each participant in the defined contribution plan shall
6 contribute the following percentage of the participant's gross pensionable
7 compensation by salary reduction that shall be deposited in the
8 participant's annuity account:

9 1. For a participant as defined in section 38-865, paragraph 7,
10 subdivision (a), item (ii), three percent.

11 2. For a participant as defined in section 38-865, paragraph 7,
12 subdivision (a), item (i), nine percent.

13 3. For a participant as defined in section 38-865, paragraph 7,
14 subdivision (b), seven percent.

15 B. A participant as defined in section 38-865 may make a onetime
16 irrevocable election, before the participant is eligible to participate in
17 any qualified plan of the employer, to contribute more than the percentage
18 of the participant's gross pensionable compensation specified in this
19 section, up to the amount allowable under section 415(c) of the internal
20 revenue code. A participant as defined in section 38-865, paragraph 7,
21 subdivision (b) may make a onetime irrevocable election, before the
22 participant is eligible to participate in any qualified plan of the
23 employer, to contribute less than the percentage of the participant's
24 gross pensionable compensation specified in this section but may not elect
25 to contribute less than five percent of the participant's gross
26 pensionable compensation. The election made pursuant to this subsection

1 shall be the participant's contribution rate for the remainder of the
2 participant's employment.

3 C. Although designated as employee contributions, all participant
4 contributions made to the defined contribution plan shall be picked up and
5 paid by the employer in lieu of contributions by the employee. The
6 contributions picked up by an employer may be made through a reduction in
7 the participant's compensation. A participant in the defined contribution
8 plan may not choose to receive the contributed amounts directly instead of
9 the employer paying the amounts to the defined contribution plan. All
10 participant contributions that are picked up by the employer as provided
11 in this subsection shall be treated as employer contributions under
12 section 414(h) of the internal revenue code, shall be excluded from the
13 participant's gross income for federal and state income tax purposes and
14 are includable in the gross income of the participant or the participant's
15 beneficiaries only in the taxable year in which they are distributed.

16 D. Each employer shall annually make a contribution equal to the
17 following percentages of each participant's gross pensionable
18 compensation:

19 1. For a participant as defined in section 38-865, paragraph 7,
20 subdivision (a), item (ii), three percent.

21 2. For a participant as defined in section 38-865, paragraph 7,
22 subdivision (a), item (i), nine percent.

23 3. For a participant as defined in section 38-865, paragraph 7,
24 subdivision (b), five and one-half percent.

25 E. The pro rata share of the amount paid in subsection D of this
26 section shall be paid on each date that a participant contribution is made
27 and shall be credited to the participant's annuity account.

28 F. Each participant as defined in section 38-865, paragraph 7,
29 subdivision (a), item (i) and subdivision (b) and each employer shall
30 contribute:

31 1. To the public safety personnel defined contribution retirement
32 plan disability program established by article 4.2 of this chapter.

33 2. For participants who make an election pursuant to section
34 38-869, an equal amount for the group health benefits plan payments as
35 specified in section 38-869 as determined by actuarial valuations reported
36 by the board to the employer and local board, which shall be deposited in
37 a separate account established pursuant to section 38-869.

38 G. A participant's contributions and earnings on those
39 contributions are immediately vested.

40 H. A participant as defined in section 38-865, paragraph 7,
41 subdivision (a) or section 38-865.01 is fully vested in the defined
42 contribution plan after ten years of service, with employer contributions
43 vesting at a rate of ten percent per year. If a participant described in
44 this subsection dies or is determined to be eligible for an accidental or
45 catastrophic disability pension pursuant to section 38-844 before

1 completing ten years of service, the employer contributions are
2 immediately fully vested.

3 I. A participant as defined in section 38-865, paragraph 7,
4 subdivision (b) is fully vested in the defined contribution plan after
5 three years of service, with the employer contributions vesting at the
6 following rates:

7 1. Twenty-five percent after the first year of service.

8 2. Fifty percent after the second year of service.

9 3. One hundred percent after the third year of service.

10 J. If a participant as defined in section 38-865, paragraph 7,
11 subdivision (b) dies or is determined to be eligible for an accidental or
12 total and permanent disability pension pursuant to section 38-886 before
13 completing three years of service, the employer contributions are
14 immediately fully vested.

15 K. IN ADDITION TO ANY EMPLOYER CONTRIBUTION REQUIRED PURSUANT TO
16 THIS SECTION, AN EMPLOYER OF A PARTICIPANT AS DEFINED IN SECTION 38-865,
17 PARAGRAPH 7, SUBDIVISION (b) MAY MAKE A SUPPLEMENTAL CONTRIBUTION
18 INCENTIVE PAYMENT TO THE PARTICIPANT'S DEFINED CONTRIBUTION PLAN ACCOUNT
19 IF THE SUPPLEMENTAL CONTRIBUTION MEETS ALL OF THE FOLLOWING:

20 1. DOES NOT EXCEED \$5,000 PER PARTICIPANT [PER YEAR] AS DESCRIBED
21 IN THIS SUBSECTION.

22 2. IS MADE ONLY ON A SPECIFIED [YEARS OF EMPLOYMENT OR YEARS OF]
23 SERVICE INTERVAL [SUCH AS FIVE, TEN OR FIFTEEN YEARS OF SERVICE].

24 3. IS MADE EQUALLY [AS AN AMOUNT OR AS A RATE OF PENSIONABLE]
25 COMPENSATION AT EACH INTERVAL AS SPECIFIED IN THIS SUBSECTION] TO ALL
26 PARTICIPANTS OF THE EMPLOYER AS DESCRIBED IN THIS SUBSECTION WHO MEET THE
27 [EMPLOYMENT OR] SERVICE REQUIREMENT [AND REQUIREMENTS OUTLINED BY THE]
28 EMPLOYER'S POLICY ADOPTED PURSUANT TO SUBSECTION M OF THIS SECTION].

29 4. DOES NOT REQUIRE THE PARTICIPANT AS DESCRIBED IN THIS SUBSECTION
30 TO MAKE ANY ADDITIONAL MONETARY CONTRIBUTION TO RECEIVE THE EMPLOYER'S
31 SUPPLEMENTAL CONTRIBUTION.

32 L. A SUPPLEMENTAL CONTRIBUTION MADE PURSUANT TO SUBSECTION K OF
33 THIS SECTION DOES NOT AFFECT ANY OTHER EMPLOYER OR ANY OTHER PARTICIPANT
34 WHO IS EMPLOYED BY THE EMPLOYER THAT MADE THE SUPPLEMENTAL CONTRIBUTION.
35 AN EMPLOYER WHO MAKES A SUPPLEMENTAL CONTRIBUTION PURSUANT TO SUBSECTION K
36 OF THIS SECTION IS NOT OBLIGATED TO MAKE ADDITIONAL SUPPLEMENTAL
37 CONTRIBUTIONS TO A PARTICIPANT AS DESCRIBED IN SUBSECTION K OF THIS
38 SECTION WHO HAS RECEIVED A PREVIOUS SUPPLEMENTAL CONTRIBUTION. AN
39 EMPLOYER MAY DISCONTINUE SUPPLEMENTAL CONTRIBUTION INCENTIVE PAYMENTS
40 PURSUANT TO SUBSECTION K OF THIS SECTION AT ANY TIME.

1 [M. BEFORE IMPLEMENTING A SUPPLEMENTAL CONTRIBUTION INCENTIVE
2 PAYMENT UNDER SUBSECTION K OF THIS SECTION, EACH EMPLOYER SHALL ADOPT A
3 POLICY THAT DETAILS THE REQUIREMENTS AND AMOUNTS OF THE SUPPLEMENTAL
4 CONTRIBUTION INCENTIVE PAYMENTS OUTLINED IN SUBSECTION K OF THIS SECTION.]

5 Enroll and engross to conform
6 Amend title to conform

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